

Strategic Managjement

[Presented by Group B-14](#)



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INDUSTRY **OVERVIEW**

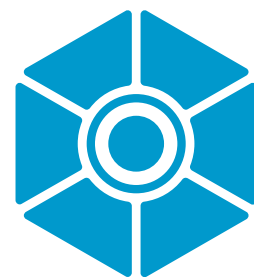
Pharmaceutical Industry Overview

India's pharmaceutical industry is a major force in the global healthcare landscape.



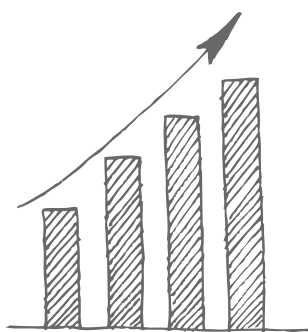
Market Size and Significance

- **Global Leader in Generics:** India boasts the title of the world's largest supplier of generic medicines by volume, accounting for 20% share of global exports
- **Vaccination Powerhouse:** The country is also the leading vaccine manufacturer globally, supplying over 60% of the world's vaccines.
- **Domestic Market Growth:** The domestic pharmaceutical market itself is valued at an estimated \$41 billion (as of 2023) and is projected to reach even greater heights



Industry Segments & Strengths

- **Generic Drugs:** The industry thrives on its expertise in developing and manufacturing high-quality, affordable generic versions of branded drugs. This makes essential medicines accessible to a wider population around the world.
- **Contract Research & Manufacturing (CRAM):** Many Indian companies excel in CRAM services, offering a cost-effective option for pharmaceutical giants to outsource research and manufacturing activities.
- **Vaccines:** India is a world leader in vaccine production. This includes essential vaccines for children and adults, contributing significantly to global immunization programs.



Growth Drivers & Opportunities

- **Emerging Markets:** The growing demand for affordable healthcare in developing countries presents a significant opportunity for Indian generics.
- **Chronic Disease Management:** The rising prevalence of chronic diseases like diabetes and heart disease fuels the need for affordable medications, where Indian companies can play a key role.
- **Government Support:** The Indian government actively supports the industry through initiatives and policies promoting research and development, manufacturing infrastructure, and exports.



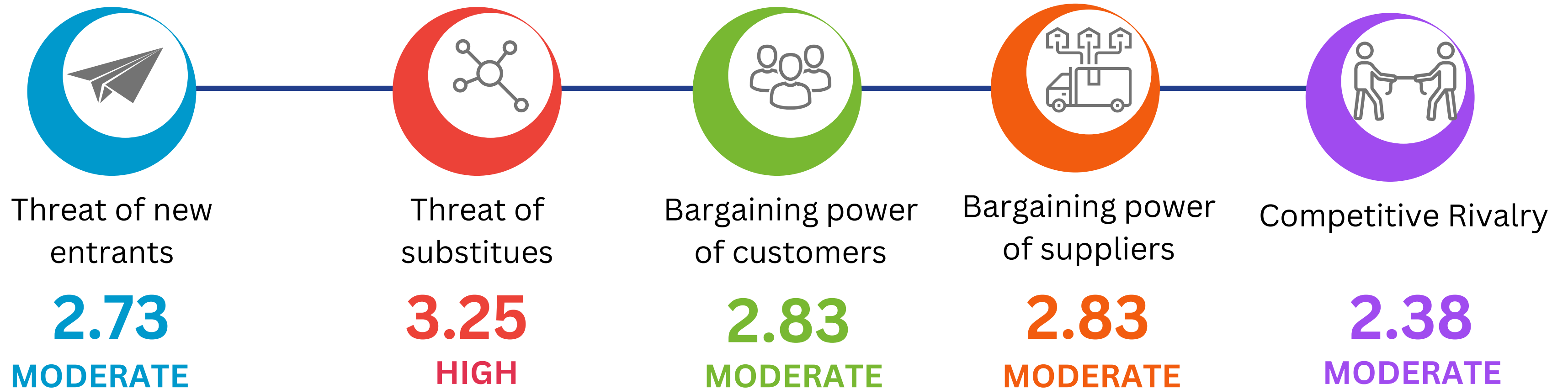
Challenges and Considerations

- **Competition:** The industry faces intense competition from other generic drug manufacturers globally.
- **Regulation:** Stringent regulatory requirements and price controls in key markets can impact profitability.
- **Patent Expiries:** The expiration of patents on branded drugs can lead to increased competition in the generic market.
- **Innovation:** While strong in generics, the industry needs to invest more in original drug discovery to become a truly global leader.

Porter's Five Forces Analysis

*Refer Annexure 1

Based on the analysis the Pharamaceutical Industry in India is Moderately Attractive



Overall Attractiveness Rating for the industry is **2.80**



COMPANY

INTRODUCTION

Cipla

Caring For Life

Introduction

Cipla



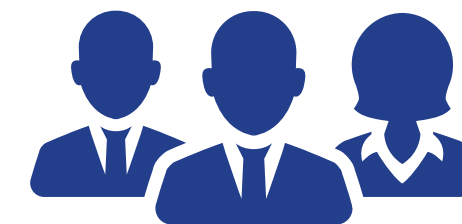
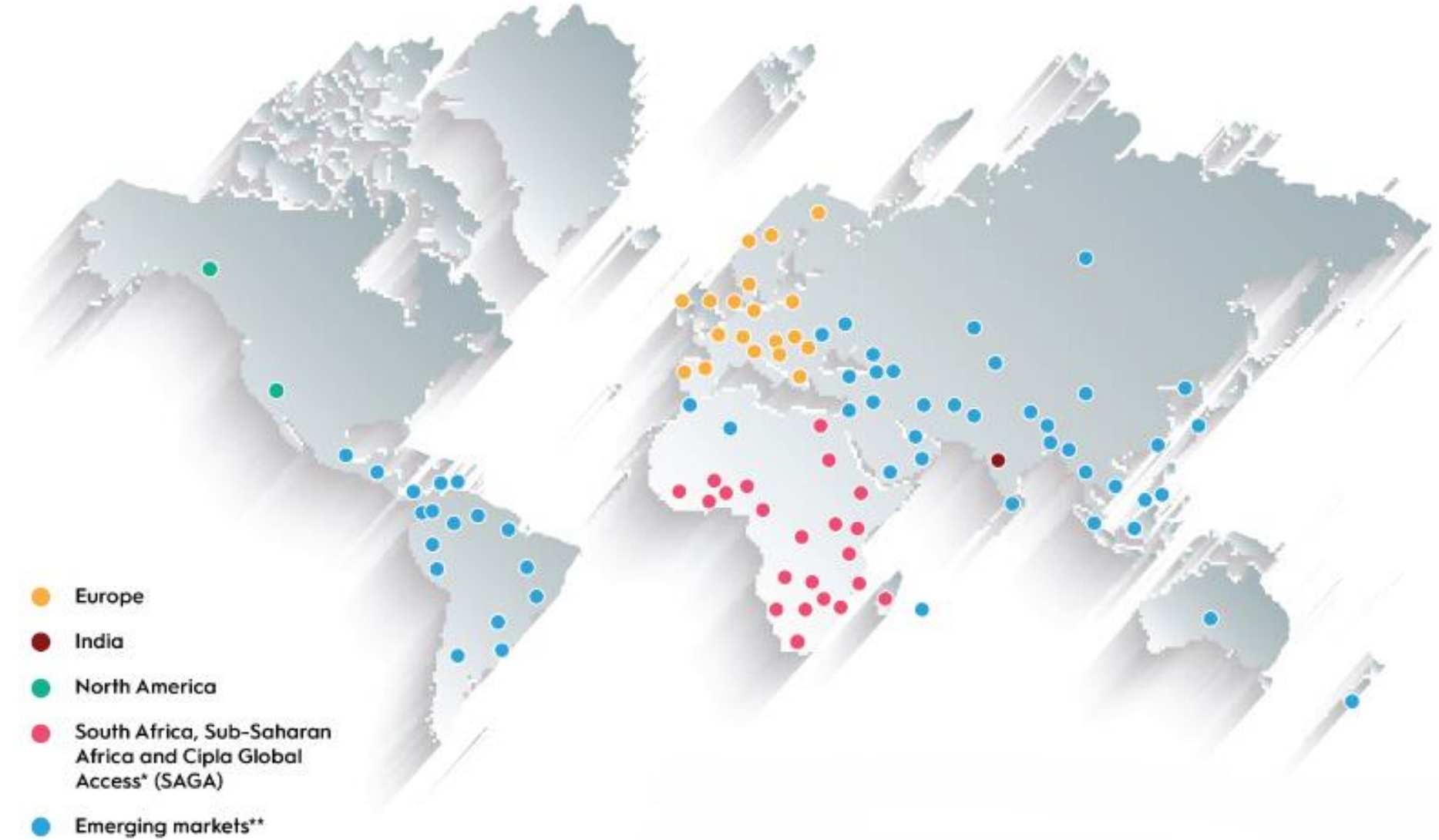
Cipla Limited was **founded in 1935** by Dr. K.A. Hamied with the goal of making **affordable healthcare accessible to all**. Over the decades, Cipla has grown into one of India's leading pharmaceutical companies with a global footprint.



It's core business areas include **respiratory, cardiovascular, anti-infective, oncology**, and other therapeutic segments. The company also has a strong presence in the **generic drug market**.



Cipla operates in over **80 countries**, with manufacturing facilities and offices spread across **India, the United States, Europe, Africa, and other regions**.



2500+



\$2.8 Billion

Vision & Mission



Vision

To become a centre of excellence in the manufacturing of quality, affordable medicines.



Purpose – Inspired



Responsibility – Centered



Innovation – Driven



Integrity & Trust – Anchored



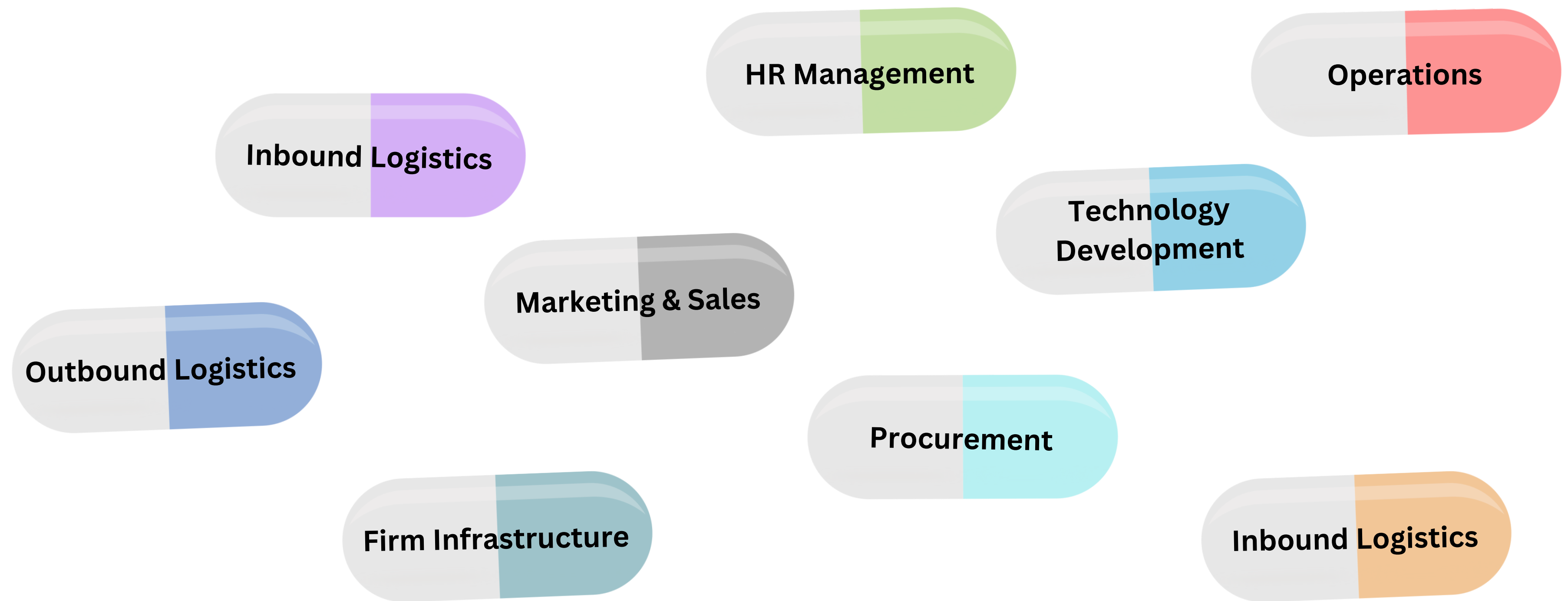
Excellence – Focused



Mission

To provide affordable and efficacious medicines in a sustainable way, to improve the quality of life.

Activity System





COMPETITIVE **STRATEGY**

SWOT Analysis

STRENGTHS

- Strong brand recognition and reputation for quality
- Extensive product portfolio of 2000+ items across various therapeutic areas
- Expertise in developing & manufacturing affordable generic drugs
- Strong global presence and established distribution network in 80+ countries



WEAKNESS

- Its primary revenue-generating market is in India
- Limited presence in the high-margin branded drug market
- Dependence on research and development partnerships for innovation



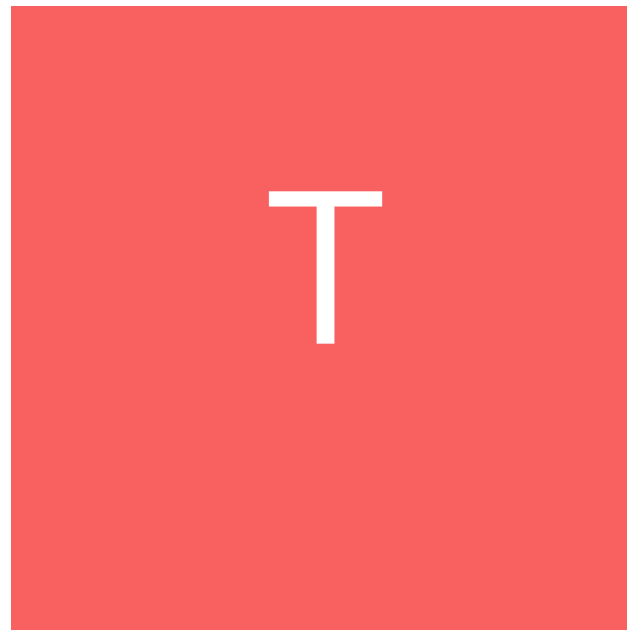
OPPORTUNITIES

- Growing demand for affordable healthcare in emerging markets
- Opportunities for expansion into new markets and therapeutic areas
- Potential for mergers and acquisitions to strengthen product portfolio



THREATS

- Intense competition from other generic drug manufacturers
- Stringent regulatory requirements and price controls in key markets
- Patent expirations on key drugs



VRIN Analysis

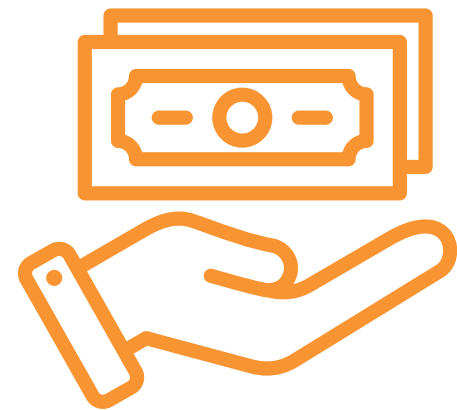
Resources/Capabilities	Valuable (V)	Rare (R)	Inimitable (I)	Non-Substitutable (N)	
Brand Reputation	V	R	I	N	Sustained Competitive Advantage
Manufacturing Capabilities	V	R	I		
Affordable HIV Drugs	V	R	I	N	
Global Distribution	V	R	I		
Complex Generics/Biosimilars	V	R	I	N	Sustained Competitive Advantage
Emerging Markets Experience	V	R	I	N	
Strategic Partnerships	V	R	I	N	Sustained Competitive Advantage
Skilled Workforce	V	R	I	N	
R&D Capabilities	V	R	I	N	
Innovation Culture	V	R	I	N	Sustained Competitive Advantage
Financial Resources	V	R	I		

Business Level Strategy

CIPLA combines elements of **both cost leadership and differentiation** in its strategic approach, allowing it to offer affordable products while also differentiating itself through various factors.



Cost Leadership Elements



1

Vertically integrated operations and **cost-effective manufacturing capabilities** enable CIPLA to produce drugs at relatively low costs.

2

Expertise in complex generics and biosimilars, which are more affordable alternatives to branded drugs.

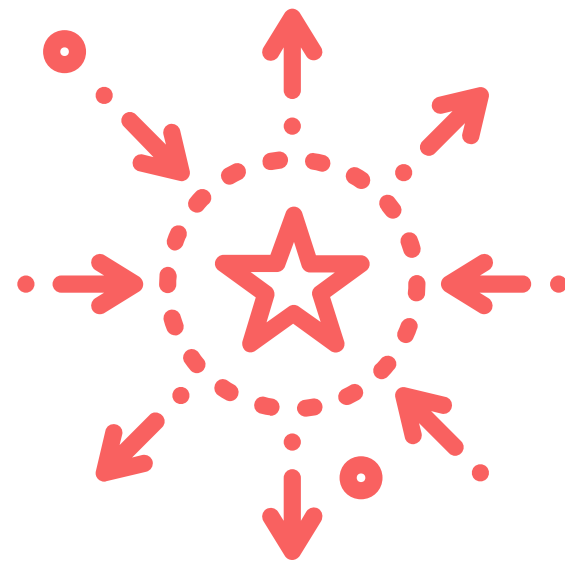
3

Strategic procurement and supply chain optimization to minimize input costs.

4

Economies of scale achieved through its large product portfolio and global presence.

Differentiation Elements



1

Strong **brand reputation** for quality and affordability, positioning CIPLA as a provider of accessible and reliable medicines.

2

Pioneering role in making HIV/AIDS drugs **affordable globally**, differentiating CIPLA as a socially responsible company.

3

Leadership in respiratory products (inhalers), offering **differentiated and specialized solutions** in this therapy area.

4

Focus on innovation through **R&D** in complex generics, biosimilars, and specialty medicines.

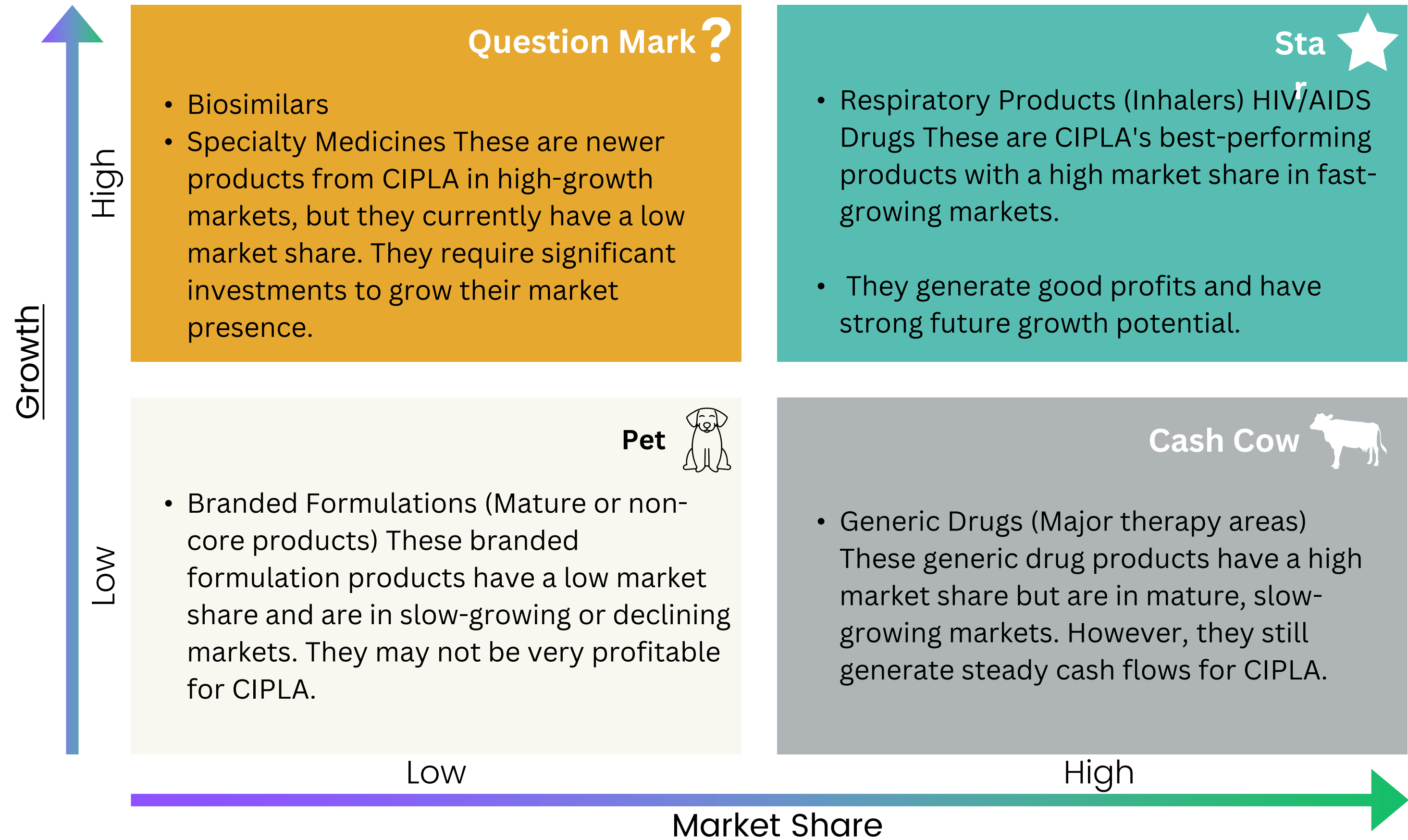
5

Corporate culture emphasizing sustainability, innovation, and ethical practices.



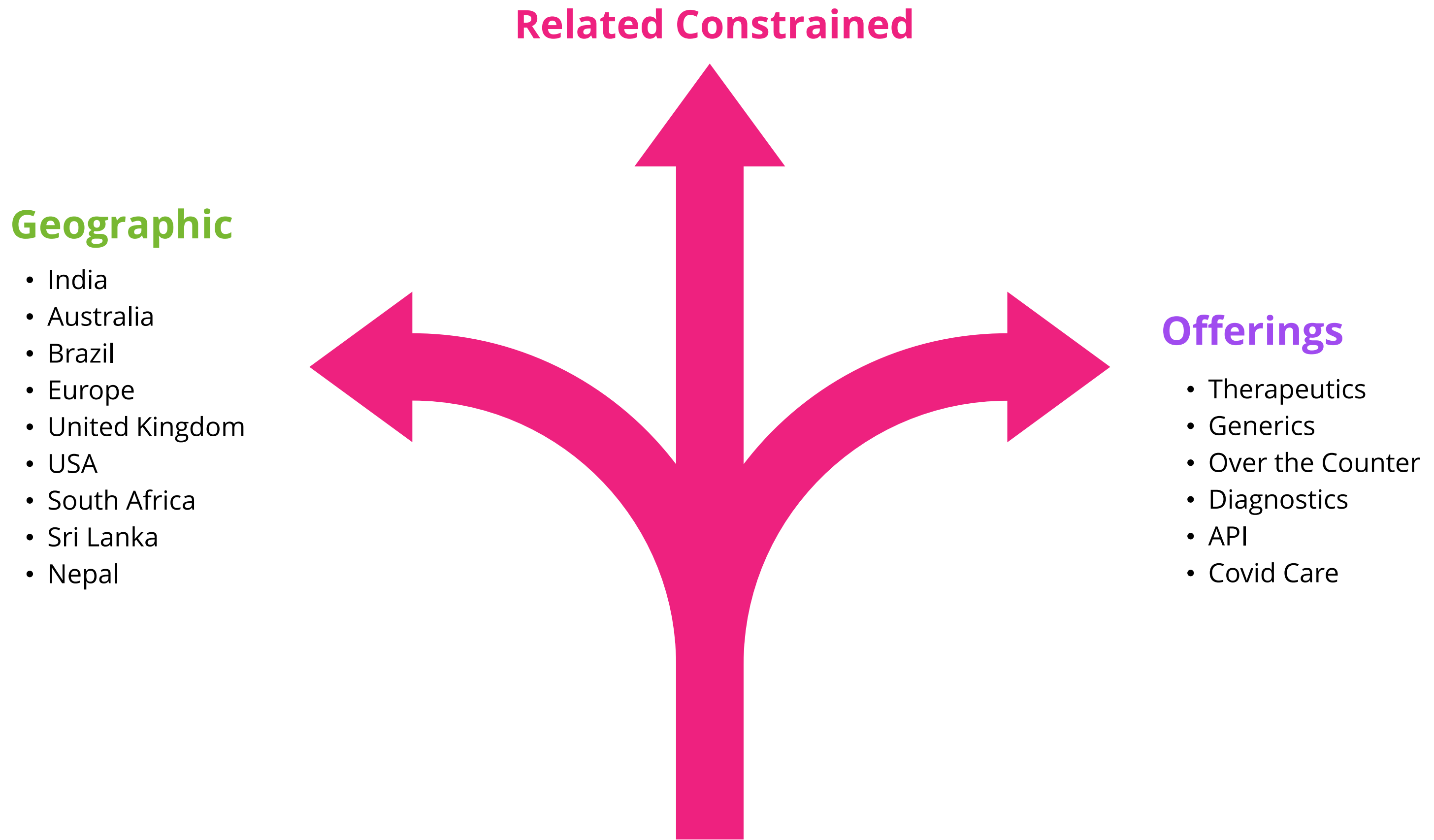
CORPORATE **STRATEGY**

BCG Matrix Analysis



Diversification

Less than 70% of revenue comes from a single business and all businesses share product, technological and distribution linkages.



Internationalization



Exporting

CIPLA exports its products to over 80 countries worldwide, including developed markets.

Some key export markets for CIPLA include South Africa, Morocco, Uganda, and other African nations.



Licensing

In 2021, CIPLA entered a licensing agreement with Novartis to manufacture and distribute respiratory products in Europe.

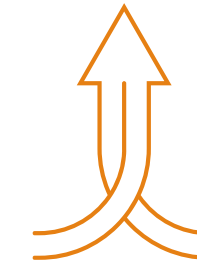
It has also licensed out its products such as the licensing deal with Mylan for HIV/AIDS drugs in Canada



Strategic Alliances

The company has a long-standing partnership with Eli Lilly for the manufacturing and distribution of insulin products in India.

CIPLA has also collaborated with BioMarin Pharmaceutical Inc. for the distribution of enzyme replacement therapies in certain markets.



Acquisitions

In 2015, it acquired two U.S.-based companies, InvaGen Pharmaceuticals Inc. and Exelan Pharmaceuticals Inc., to enhance its presence in the generic drug market in the United States.

In 2013, it acquired Cipla Medpro, a leading South African pharmaceutical company, to strengthen its foothold in the African market.



Wholly Owned Subsidiary

It has set up wholly-owned subsidiaries in other countries, such as CIPLA BioTec in South Africa and CIPLA Europe NV/SA in Belgium, to expand its operations.

In 2020, it established Cipla Therapeutics Inc. in USA to focus on developing specialty products, including respiratory therapies and biosimilars.

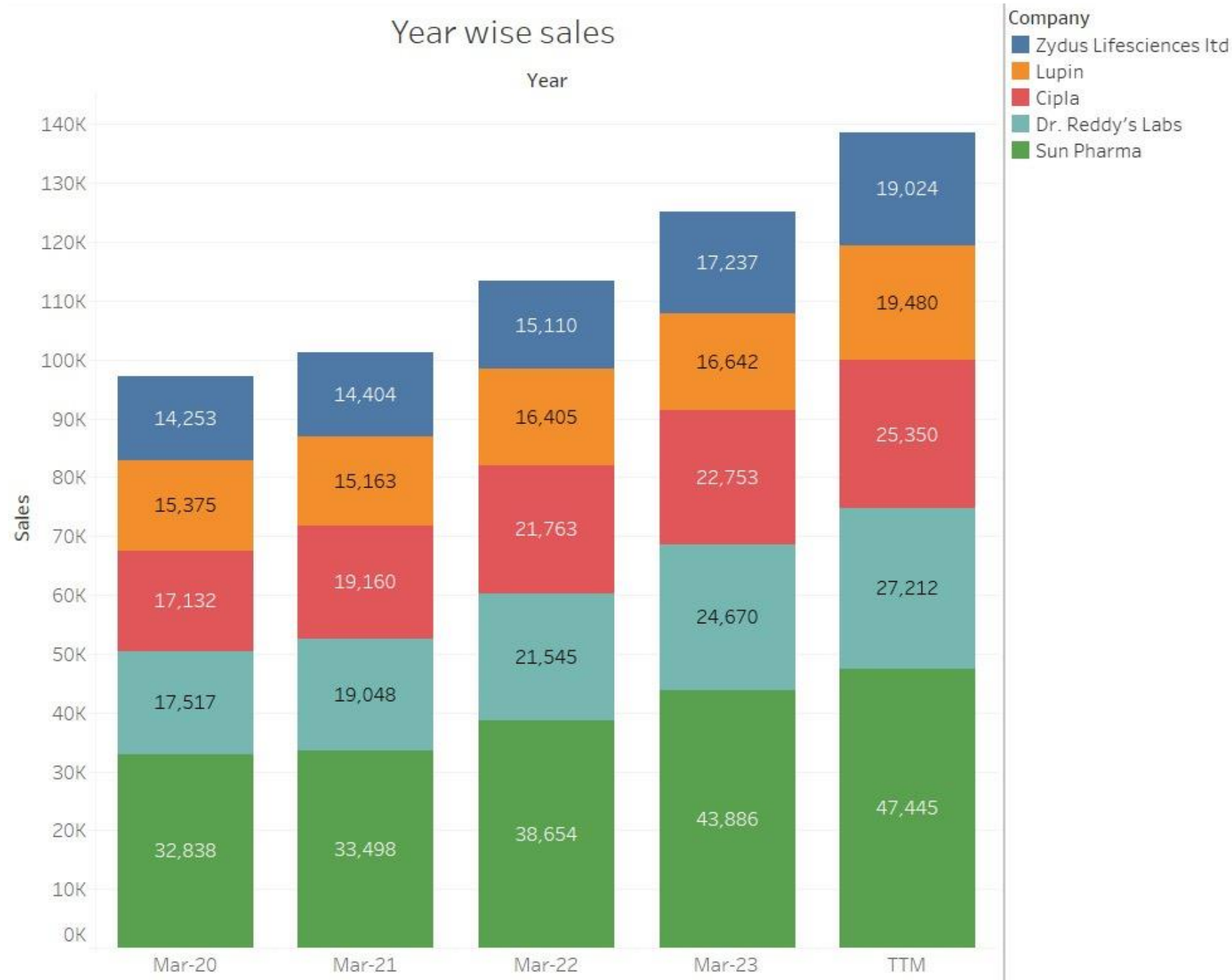
Benefits of Internationalization

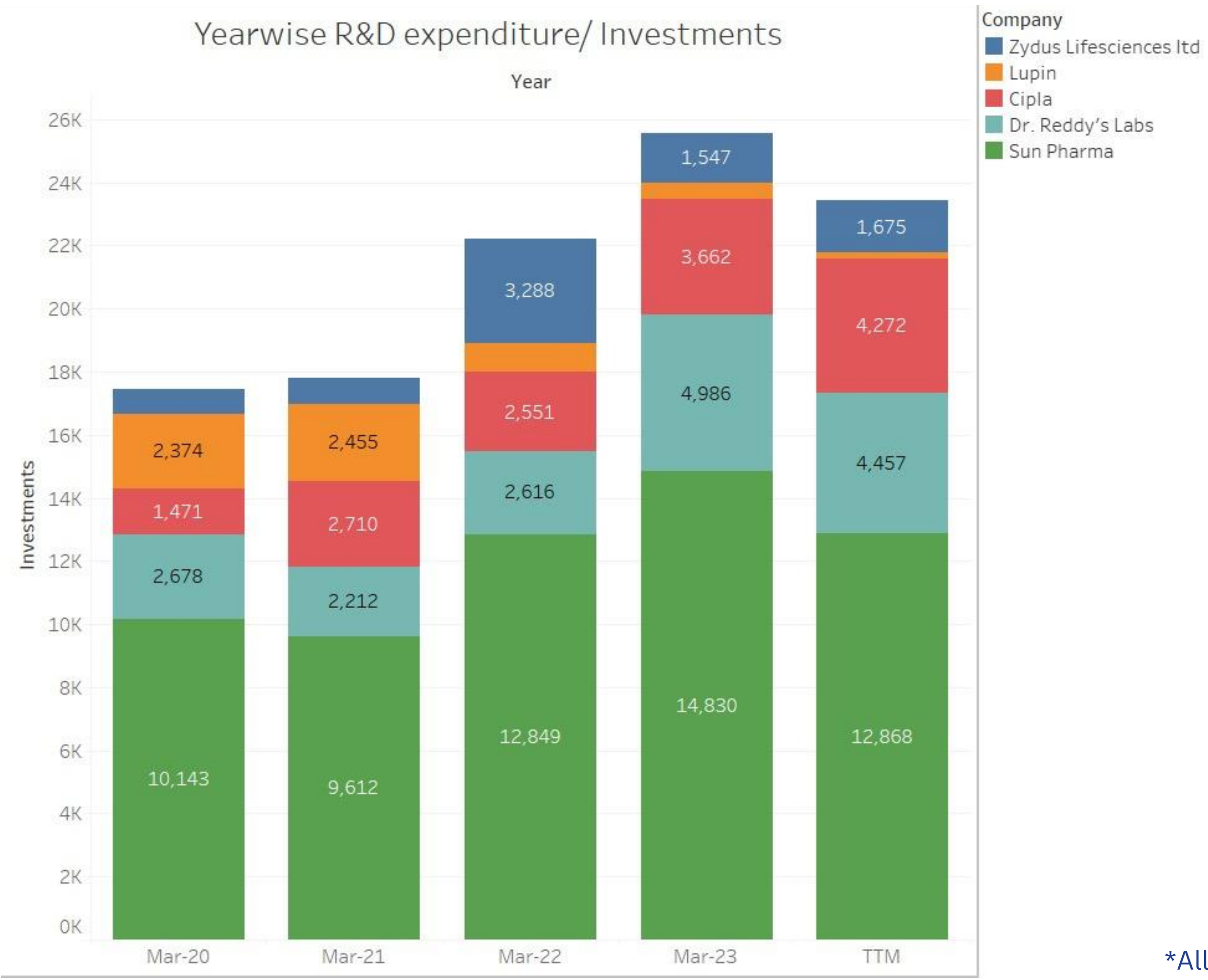




FINANCIAL **ANALYSIS**

Peer Comparison





*Refer Annexure 2

*All Figures are in Cr.



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YOU

Annexure - 1

Threat of New Entrants – 2.73

Factors	Evidences	Low/moderate/ High	TNE Rating (1-Low, 5-High)	Attractiveness rating (1-Low ,5-High)
Capital Requirement	High equipment and R&D cost. Also, High cost to set up manufacturing plants	High	1	5
Economics of scale	Difficult to enter with more volume for new entrant	High	2	4
Demand side benefit of scale- Network effect	Reliability factor – Users prefers existing drugs	High	2	4
Product differentiation	Same drug formulation is used across industry	Low	5	1
Brand differentiation	Customer prefers certain brand for particular drug (Ex paracetamol from micro labs (Dolo 650)	Moderate	3	3
Access to distribution channel	Difficult to create distribution channel	High	3	3
Access to raw materials	Raw materials are easily available	Low	5	1
Exit barrier	High fixed capital is involved so difficult to exit	High	2	4
Customer switching cost	Customers can easily switch to other brands as there are many alternatives available	Low	5	1
Government policy	Strict government norms for licenses	Moderate	3	3
Expected retaliation from incumbents	Lot of players in market	Low	4	2

Bargaining power of Supplier – 2.83

Factors	Evidences	Low/moderate/ High	Supplier Power Rating (1-Low, 5-High)	Attractiveness rating (1-Low ,5-High)
Suppliers' concentration	While there are many suppliers some dominant players control significant critical raw materials supply	Moderate	3	3
Industry switching cost in changing supplier	Some regions like India and China hold significant power so switching cost is high	High	5	1
Product (supplies) differentiation	Little differentiation of supplies as many suppliers provide similar raw materials	Low	1	5
Substitute for supply	When a drug is initially manufactured for first time substitute is not available but when patent expires lot of generic manufacturers come into play	Moderate	3	3
Threat of forward integration	In case of essential raw materials, threat will be high but for non-essential raw materials threat will be low	High	4	2
Suppliers' dependence on the Industry	For certain raw materials dependence on Industry is high but for most it is low	Moderate	3	3

Competitive Rivalry – 2.38

Factors	Evidences	Low/moderate/ High	Rivalry Rating (1-Low, 5-High)	Attractiveness Rating (1-Low , 5-High)
Number of competitors	The pharmaceutical industry is dominated by a small number of large multinational companies with global reach and extensive product portfolios.	Moderate	4	2
Industry growth	Growth opportunities for pharma companies are expected to grow in next few years, with many drugs going off patent in the US and other countries thus increasing competition.	High	3	4
Fixed cost	The research and development (R&D) process for new drugs is extremely expensive and time-consuming.	High	5	1
Product differentiation	Branded drugs typically enjoy high product differentiation. However, upon patent expiry, generic drugs enter the market, offering the same active ingredients at significantly lower prices.	Moderate	5	2
Consumer switching cost	For patients with established treatments, switching to a new drug can be challenging. This can create a lock-in effect that benefits established brands but can also hinder the adoption of new or generic alternatives.	Low	3	1
Excess capacity	In pharmaceuticals, the level of excess capacity varies depending on the specific product and company.	Moderate	3	3
Perishability	Most pharmaceuticals have a long shelf life and are not considered perishable goods. However, some drugs, particularly biological products and vaccines, may have expiration dates beyond which they are no longer considered safe or effective.	Low	4	5
Exit barrier	High exit barriers exist in the pharmaceutical industry. The complexity and cost of withdrawing products from the market, especially due to potential safety concerns or legal issues.	High	5	1

Threat of Substitutes – 3.25

Factors	Evidences	Low/moderate/ High	Threat of Substitutes Rating (1-Low, 5-High)	Attractiveness rating (1-Low ,5-High)
Availability of close substitute	India has a robust generic pharmaceutical industry, offering affordable alternatives to branded medications.	High	1	5
Switching cost	Drugs cannot be substituted	High	1	5
Substitutes price-value ratio	High	Low	4	2
Buyer's propensity to substitute	Less likely to substitute generic brands due to cost	Low	5	1

Bargaining power of buyers – 2.83

Factors	Evidences	Low/moderate /High	Buyers Power Rating (1-Low, 5-High)	Attractiveness rating (1-Low ,5-High)
Customer concentration	Low customer concentration (more number of customers)	Low	1	5
Customer switching cost	Customers can easily switch to other brands as there are many alternatives available	Low	5	1
Product differentiation	Same drug formulation is used across industry	Low	5	1
Brand differentiation	Customer prefers certain brand for particular drug (Ex paracetamol from micro labs (Dolo 650))	Moderate	3	3
Threat of backward integration	Customer will never start manufacturing drugs for its use.	Low	1	5
Customer price sensitivity	For general medicine, customers are highly sensitive to price. Only for lifesaving rare drugs they might be not price sensitive.	High	4	2

Annexure - 2

Year	Sales	Net Profit	Investments	Company
Mar-20	17,132	1,500	1,471	Cipla
Mar-21	19,160	2,389	2,710	Cipla
Mar-22	21,763	2,547	2,551	Cipla
Mar-23	22,753	2,833	3,662	Cipla
TTM	25,350	3,743	4,272	Cipla
Mar-20	32,838	4,172	10,143	Sun Pharma
Mar-21	33,498	2,272	9,612	Sun Pharma
Mar-22	38,654	3,389	12,849	Sun Pharma
Mar-23	43,886	8,513	14,830	Sun Pharma
TTM	47,445	8,934	12,868	Sun Pharma
Mar-20	17,517	2,026	2,678	Dr. Reddy's Labs
Mar-21	19,048	1,952	2,212	Dr. Reddy's Labs
Mar-22	21,545	2,182	2,616	Dr. Reddy's Labs
Mar-23	24,670	4,507	4,986	Dr. Reddy's Labs
TTM	27,212	5,228	4,457	Dr. Reddy's Labs
Mar-20	14,253	1,204	765	Zydus Lifesciences ltd
Mar-21	14,404	2,185	830	Zydus Lifesciences ltd
Mar-22	15,110	4,618	3,288	Zydus Lifesciences ltd
Mar-23	17,237	2,092	1,547	Zydus Lifesciences ltd
TTM	19,024	3,085	1,675	Zydus Lifesciences ltd
Mar-20	15,375	-270	2,374	Lupin
Mar-21	15,163	1,228	2,455	Lupin
Mar-22	16,405	-1,528	900	Lupin
Mar-23	16,642	430	517	Lupin
TTM	19,480	1,810	164	Lupin